

Finally, there's a reason why we struggle with money—why we're perpetually sabotaging or why we just can't seem to be consistent.

Of course, understanding your behaviour with money is a vital step, but it's only part of the picture. Once you've identified and understood your Financial Phenotype, it means you can start to develop a suite of great financial habits that are right for you. For most of you, these financial habits will have absolutely nothing to do with budgets (Insert the 'Hallelujah Chorus' here.)

Yes, there are some of us (myself included) who love ourselves a good budget and a good spreadsheet. I mean, nothing says a great holiday to me like a colour-coded spreadsheet so of course I'm going to apply that same thinking to my business (and occasionally my personal) finances. Some of you are mentally high-fiving me right now and some of you are gagging. The reality is, for most of us, a line-by-line itemised budget is the wrong approach. Now, I'm not suggesting we shouldn't understand how much we spend and how much we save; how much we owe and how much we own; and what our goals are and whether our current assets, income and spending will get us there. And yes, a spreadsheet can be incredibly helpful with figuring all that out. Instead, I'm talking about not simply defaulting to a prescriptive one-size-fits-all financial approach.

The reason we're tempted to default to a formula or a budget, even if it doesn't feel right for us, is because often we don't know there's another way to go about it. We don't have a great financial language, we have limited financial education and we're not used to telling financial stories. So, we cross our fingers and hope a formulaic approach will finally be right for us.

And some financial service providers use a lazy standardised approach, such as suggesting a spending plan of 50 per cent needs, 20 per cent savings and 30 per cent wants. This can sometimes make us feel financially safe. Finally, there's a formula that guarantees, if we simply stick to it, we'll be financially okay, right?

Wrong.

Let's think about that suggested spending formula for a moment. What happens if you're on a low income and simply can't make the numbers add up? What if you keep dipping into your pot of savings despite transferring 20 per cent, like the formula dictates? Chances are, it will make you feel